



MCQ BOOKLET

**SEBI (Prohibition of
Insider Trading)
Regulations, 2015**

MCQs

1. A person becomes an “insider” under the SEBI (Prohibition of Insider Trading) Regulations, 2015 when they:
 - A. Are holding more than 5% shares
 - B. Have access to UPSI, whether formally connected or not
 - C. Are employees below managerial level
 - D. Are company secretaries only
 - E. Are listed as related parties in financial statements

2. After the 2018 amendment to the SEBI (Prohibition of Insider Trading) Regulations, 2015 inserting Regulation 3(2B), a person receiving UPSI for a legitimate purpose is:
 - A. A deemed promoter
 - B. A whistleblower
 - C. An insider automatically
 - D. A connected person only if on payroll
 - E. Excluded from insider definition

3. Under the SEBI (Prohibition of Insider Trading) Regulations, 2015, “UPSI” refers to information which is:
 - A. Publicly available and affects price
 - B. Not generally available but price sensitive
 - C. Known only to promoters
 - D. Forward-looking statements disclosed to analysts
 - E. Circulated on WhatsApp groups

4. “Generally available information” under the SEBI (Prohibition of Insider Trading) Regulations, 2015 refers to information:
 - A. Shared selectively with lenders
 - B. Officially confirmed only to merchant bankers
 - C. Published in widely accessible public media
 - D. Discussed internally among employees
 - E. Communicated during private investor calls

5. A “connected person” under the SEBI (Prohibition of Insider Trading) Regulations, 2015 includes someone who:
 - A. Had association with the company within the previous 6 months
 - B. Bought shares recently

- C. Is a shareholder holding 1%
- D. Is a customer of the company
- E. Only persons named by SEBI specifically

6. Under the substituted Regulation 3(5) (2020 amendment) of the SEBI (Prohibition of Insider Trading) Regulations, 2015, a structured digital database must be:

- A. Outsourced to a third-party vendor
- B. Maintained internally with time-stamps and audit trails
- C. Voluntary for intermediaries
- D. Kept only for listed companies
- E. Stored only during trading windows

7. Under the 2018 amendment to the SEBI (Prohibition of Insider Trading) Regulations, 2015, “legitimate purpose” includes sharing UPSI with:

- A. Marketing agencies for brand promotion
- B. Partners, auditors, insolvency professionals
- C. Influencers for social media campaigns
- D. Government advertisement departments
- E. Training institutes for case study material

8. Which of the following is NOT treated as “generally available information” under the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- A. Data published on stock exchanges
- B. Announcements broadcast widely in media
- C. Selectively disclosed information to analysts
- D. Public quarterly results
- E. Press releases disseminated via official channels

9. After the 2025 amendment to the SEBI (Prohibition of Insider Trading) Regulations, 2015, entry of externally received UPSI into the structured digital database must be made:

- A. Immediately on the same hour
- B. Within 2 calendar days
- C. Anytime before the next AGM
- D. Only after the UPSI is made public
- E. Only if SEBI asks for it

10. Under the SEBI (Prohibition of Insider Trading) Regulations, 2015, a person who trades on behalf of another while in possession of UPSI is:

- A. Exempt because the trade was instructed
- B. Still violating the Regulations
- C. Protected if the beneficiary is a relative
- D. Exempt when using a discretionary PMS
- E. Not an insider unless they are a director

11. Under SEBI (PIT) Regulations, 2015, the term “insider” requires which of the following?

- a) Only possession of UPSI
- b) Only connection with the company

- c) Either possession of UPSI or being a connected person
- d) Being a promoter only
- e) Only having access to financial statements

12. A listed company plans to disclose its quarterly results in 5 days. During this period, the information is, under the SEBI (Prohibition of Insider Trading) Regulations, 2015:

- a) Public information
- b) Unpublished price sensitive information
- c) Trading window information
- d) Routine disclosure
- e) Selective disclosure

13. Which of the following persons is NOT mandatorily a connected person under the SEBI (Prohibition of Insider Trading) Regulations, 2015 ?

- a) Immediate relative
- b) Auditor
- c) Banker
- d) Debenture trustee
- e) Employee who has resigned yesterday without UPSI access

14. Under Regulation 4 of the SEBI (Prohibition of Insider Trading) Regulations, 2015, communication of UPSI is allowed when:

- a) The insider believes the information is harmless
- b) It is in furtherance of legitimate purposes
- c) It is helpful to investors
- d) The recipient signs a confidentiality agreement only
- e) The insider makes an oral disclosure

15. Under the SEBI (Prohibition of Insider Trading) Regulations, 2015, trading plans must:

- a) Be for a minimum period of 7 days
- b) Be for a minimum period of 12 months
- c) Commence after a cooling-off period of at least 120 days
- d) Allow insider to modify at any time
- e) Be confidential and not disclosed to stock exchanges

16. Under Regulation 7 of the SEBI (Prohibition of Insider Trading) Regulations, 2015, the disclosure required by promoters regarding trades is triggered when the value exceeds:

- a) ₹5 lakh
- b) ₹10 lakh
- c) ₹25 lakh

- d) ₹50 lakh
- e) No monetary threshold applies

17. Under the SEBI (Prohibition of Insider Trading) Regulations, 2015, the Compliance Officer must be:

- a) A company secretary only
- b) Senior enough to report to board of directors
- c) A promoter representative
- d) Selected by shareholders
- e) Mandatory only for top 100 listed companies

18. Under the 2020 and 2021 amendments of the SEBI (Prohibition of Insider Trading) Regulations, 2015, introducing the Regulatory Sandbox, SEBI may exempt persons from regulations for up to:

- a) 3 months
- b) 6 months
- c) 12 months
- d) 24 months
- e) No fixed limit

19. Under the SEBI (Prohibition of Insider Trading) Regulations, 2015, pre-clearance of trades is required for designated persons when their trades exceed:

- a) The monetary threshold specified by SEBI
- b) The threshold specified by the Compliance Officer
- c) ₹1 lakh
- d) All trades require pre-clearance
- e) Threshold is specified by stock exchanges

20. Which of the following is NOT UPSI under Regulation 2(n) of the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a) Financial results
- b) Dividend decisions
- c) Corporate plans for expansion
- d) Market rumors published in newspapers
- e) Changes in capital structure

21. A CFO drafts a trading plan on 1st January and wants it to start on 1st April. Results for Q4 will be announced on 15th April. Is the plan valid according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a) Yes, because cooling-off ends before April.
- b) Yes, trading plan can overlap UPSI periods.
- c) No, because minimum cooling-off of 120 days is violated.
- d) No, because trading plans cannot be drafted by CFOs.
- e) Yes, if board approves deviation.

22. A research analyst receives UPSI unintentionally from an employee of a listed company. The analyst does not trade but publishes a general industry report. Is Regulation 3(1) of the SEBI (Prohibition of Insider Trading) Regulations, 2015, violated?

- a) Yes, because even passive receipt is prohibited.
- b) Yes, because publishing any report after receiving UPSI is barred.
- c) No, because mere receipt + no communication/trading doesn't violate.
- d) No, because analysts are exempted from PIT regulations.
- e) No, if report is approved by compliance officer of issuer.

23. A designated person executes a trade worth ₹12 lakh during a closed trading window but claims it was part of an approved trading plan. Later, it is discovered the plan was modified 10 days before the trade. Is the trade valid according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a) Yes, because trading plan overrides window closure.
- b) Yes, modification is allowed anytime.
- c) No, because modifications require a 120 days cooling-off again.
- d) No, because modification wipes out earlier approval.
- e) Trade is valid if promptly disclosed.

24. An employee resigns after working for 3 years. On the 20th day after resignation, she trades in company shares while knowing ongoing merger negotiations. Is she a "connected person" according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a) Yes, because all ex-employees remain connected indefinitely.
- b) Yes, because she is within 6 months and had access.
- c) No, because only current employees qualify.
- d) No, because 20 days exceeds cooling period.
- e) Only if she is a promoter.

25. A promoter gifts shares worth ₹18 lakh to his daughter (immediate relative). Is disclosure required according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a) No, gifts are exempt.
- b) No, because gifting is not a "trade".
- c) Yes, because any transfer by promoter above ₹10 lakh triggers disclosure.
- d) Yes, but only if consideration is paid.
- e) Disclosure only if daughter trades later.

26. A listed company enters the SEBI regulatory sandbox for testing algorithmic advisory services. During the 12-month sandbox period, it shares live client data with a tech startup. Which is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a) Always prohibited since UPSI cannot be shared.
- b) Allowed if SEBI has granted sandbox exemption.

- c) Allowed without conditions because sandbox overrides PIT.
- d) Allowed only if consent of all clients is taken, irrespective of sandbox.
- e) Prohibited because sandbox applies only to intermediaries, not companies.

27. A merchant banker is preparing a rights issue document. He shares certain financial projections with two potential institutional investors before public announcement. Is this permissible according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a) Yes, if NDA is signed.
- b) Yes, if considered “legitimate purpose”.
- c) No, because selective sharing of UPSI to investors is barred.
- d) Yes, because merchant bankers are exempt.
- e) Yes, if Board of directors approves.

28. A compliance officer rejects pre-clearance for a trade, but the designated person trades anyway claiming information used was “generally available.” The information was actually sourced from a paid industry database accessible to only members. Which is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a) Trade is valid because database is publicly purchasable.
- b) Trade violates PIT because info is not “generally available.”
- c) Valid because compliance officer decisions are recommendatory.
- d) Trade is valid due to no UPSI link.
- e) Valid only if company reimbursed the database fee.

29. A subsidiary CEO (not on parent board) receives UPSI from the parent company regarding a slump sale. He trades in the subsidiary’s listed securities. Do PIT regulations apply?

- a) No, because UPSI was about parent, not subsidiary.
- b) Yes, because slump sale indirectly impacts subsidiary valuation.
- c) No, because CEO is not a connected person of parent.
- d) Only if slump sale is disclosed on stock exchange.
- e) Not applicable to subsidiaries.

30. A listed company’s Compliance Officer goes on leave. During this time, CFO informally handles all approvals without written delegation. A designated person’s trade later exceeds the threshold. Who is liable according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a) Only the designated person
- b) Only the CFO for providing approvals without authority
- c) Only the company
- d) Both CFO and company for violating Reg. 2(1)(c) & Reg. 9
- e) Nobody, because approval was informally given

31. A listed company’s CFO shares upcoming quarterly results (UPSI) with an investment banker for drafting a financing proposal. The banker’s team then shares a summary internally to a junior associate, who uses it to trade. Which is correct according to the SEBI (Prohibition of

Insider Trading) Regulations, 2015?

- a. Only the CFO violated the Regulations.
- b. Only the junior associate violated UPSI trading prohibition.

- c. Internal sharing within the bank is exempt under “legitimate purpose”, so no violation.
- d. Both CFO and banker violated, because “performance of duties” must be necessary and documented.
- e. Junior associate is not an insider since he received it indirectly.

32. A designated person trades during a trading window closure. However, she received pre-clearance after she placed the order but before execution. Which is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a. The trade is valid since execution happened post pre-clearance.
- b. The trade violates the code because placing the order itself is a violation.
- c. Pre-clearance cures prior violations if obtained before execution.
- d. Only the compliance officer violates by granting pre-clearance.
- e. The violation depends on intent, not timing.

33. A promoter gifts shares to his brother. At that time, the promoter knows UPSI about a merger. The brother sells the shares immediately. Which is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a. Gift is exempt so promoter committed no violation.
- b. Brother is an insider because of “connected person” deeming fiction.
- c. Sale is exempt because the brother was not aware of UPSI.
- d. Both promoter and brother violate because gift is a transfer “on possession of UPSI.”
- e. Only the promoter violates; the brother does not if unaware.

34. The compliance officer refuses pre-clearance to a designated person even though no UPSI exists, citing “high risk of speculation.” What is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a. CO has absolute discretion.
- b. CO can only refuse based on UPSI or code-specified grounds.
- c. Refusal violates the Regulations; CO must allow all trades unless UPSI exists.
- d. Refusal is valid because CO must ensure no possibility of insider trading.
- e. Refusal is valid only if approved by the board.

35. An acquirer in a takeover due diligence receives UPSI. He trades in a different listed company in the same group citing “not related to the UPSI.” Correct?

- a. Violation — UPSI possession prohibits trading in any listed security.
- b. Allowed — UPSI must relate to the company whose securities are traded.
- c. Allowed only if the group company is not a “material subsidiary.”
- d. Violation — because acquirer becomes deemed connected across the group.
- e. Violation only if he received UPSI “through unlawful means.”

36. A designated person executes a trade worth ₹10 lakh. Her spouse separately trades ₹11 lakh

on the same day. Their individual limits are below threshold but combined exceed. Which is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

a. Pre-clearance required because spouse is treated as a “joint DP” for limits.

- b. Only the designated person's trades count toward limits.
- c. Spouse is exempt unless listed as "immediate relative" in annual declaration.
- d. Combined trades matter if trading is "in concert."
- e. Spouse's trades always require independent pre-clearance.

37. Company A temporarily appoints a consultant for 15 days. During this period, he accesses UPSI for valuation work. After the contract ends, he trades based on memory of that UPSI. Which is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a. No violation — he is no longer a connected person.
- b. Violation — insider status continues for 6 months after termination.
- c. Violation — insider status applies if UPSI is accessed at any time.
- d. No violation if he trades after UPSI becomes public.
- e. Violation only if he was paid for accessing UPSI.

38. A senior employee shares UPSI with a colleague but marks the email as "strictly confidential – compliance restricted". The colleague trades but claims "purpose of sharing was legitimate." Which is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a. Marking an email confidential fulfils "legitimate purpose" requirement.
- b. Legitimate purpose must be documented in the policy and necessary.
- c. No violation because colleague independently decided to trade.
- d. Violation only for the colleague since he traded.
- e. Violation for neither because internal sharing is always allowed.

39. A designated person creates an encumbrance on shares. He reports it after 10 working days. The company argues PIT disclosure timelines apply. Which is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a. PIT requires disclosure within 2 trading days.
- b. PIT applies only to trades, not encumbrances.
- c. Encumbrances are treated as trades and follow PIT timelines.
- d. Disclosure only under SAST, not PIT.
- e. PIT and SAST overlap; earliest timeline applies.

40. A fund manager forms a "trading plan" but modifies it after 2 months due to market volatility. The modification shifts some trades to a period overlapping UPSI. Which is correct according to the SEBI (Prohibition of Insider Trading) Regulations, 2015?

- a. Trading plan cannot be modified once approved.
- b. Modification allowed but must meet all original conditions including UPSI-free periods.
- c. Modification allowed only with shareholder approval.
- d. Modified plan is valid even if overlapping UPSI.
- e. Trading plan lapses automatically once UPSI develops.

Answers and Solutions

1. Answer B

Under the SEBI (Prohibition of Insider Trading) Regulations, 2015, the concept of an “insider” is deliberately framed very broadly, and Option B correctly captures the essence of this definition. Regulation 2(1)(g) defines an insider as any person who is either (i) a connected person, or (ii) in possession of or having access to unpublished price sensitive information (UPSI). The use of the word “or” is critical and establishes the possession-based test as an independent ground for insider status. Therefore, even if a person has no formal, contractual, or employment-based relationship with the company, mere access to UPSI is sufficient to bring that person within the regulatory net. SEBI consciously moved away from a purely relationship-based test because insider trading often occurs through informal channels, leaks, or indirect access. Courts and SEBI adjudicating officers have consistently emphasised that insider trading regulations are preventive in nature and must be interpreted expansively to protect market integrity. Once a person has access to UPSI, the law presumes the ability to misuse it, irrespective of designation or shareholding. Option A is incorrect because shareholding percentage has no bearing on insider status under the PIT Regulations. Option C is incorrect because even junior employees may have access to UPSI depending on their role. Option D is overly restrictive and legally unsustainable, as company secretaries are only one category of connected persons. Option E is irrelevant because accounting classification as a related party does not automatically confer insider status unless UPSI access is established. Thus, Option B correctly reflects the possession-based approach embedded in the 2015 Regulations.

2. Answer C

Option C is correct because the 2018 amendment to the SEBI (Prohibition of Insider Trading) Regulations, 2015, specifically introduced Regulation 3(2B), which fundamentally altered how recipients of UPSI are treated. Prior to this amendment, there was ambiguity regarding whether persons receiving UPSI for legitimate purposes could still be considered insiders. Regulation 3(2B) clarifies that any person who receives UPSI pursuant to a legitimate purpose shall be considered an insider, even though the communication itself may be lawful. The rationale behind this provision is rooted in risk management rather than moral culpability. SEBI recognises that certain disclosures of UPSI are commercially unavoidable, such as disclosures to auditors, legal advisors, insolvency professionals, or strategic partners. However, once UPSI is shared, the recipient is placed in a position of informational advantage. To prevent misuse, the law imposes insider obligations on such recipients, including restrictions on trading and further communication. Option A is incorrect because receiving UPSI does not convert a person into a promoter or deemed promoter. Option B is incorrect because whistleblowers operate under a different regulatory framework and are not automatically classified under Regulation 3(2B). Option D is incorrect because insider status does not depend on payroll or employment.

Option E is directly contrary to the regulation, as recipients of UPSI are expressly included

within the insider definition, not excluded. Therefore, Option C accurately reflects the legal consequence of receiving UPSI for legitimate purposes after the 2018 amendment.

3. Answer B

Option B correctly defines “unpublished price sensitive information” (UPSI) under Regulation 2(1)(n) of the SEBI (Prohibition of Insider Trading) Regulations, 2015. UPSI is information that is not generally available and which, upon becoming generally available, is likely to materially affect the price of securities. Both elements must coexist. If information is price sensitive but already public, it ceases to be UPSI. Conversely, confidential information that has no price impact also falls outside UPSI. SEBI provides an inclusive list of examples such as financial results, dividends, mergers, acquisitions, changes in capital structure, and key managerial decisions. The emphasis on “material” impact ensures that trivial or speculative information is excluded, while significant corporate developments are covered. Option A is incorrect because information that is publicly available cannot be UPSI, regardless of price impact. Option C is incorrect because UPSI is not restricted to promoters’ knowledge; employees, advisors, and third parties may possess it. Option D is incorrect because forward-looking statements disclosed to analysts, if properly disclosed publicly, form part of generally available information. Option E is incorrect because mere circulation on private WhatsApp groups does not make information public; however, not all such information qualifies as UPSI unless price sensitivity is established. Thus, Option B accurately captures the statutory definition and regulatory intent behind UPSI.

4. Answer C

Option C is correct because “generally available information” under Regulation 2(1)(e) refers to information that is accessible to the public on a non-discriminatory basis. The core idea is equality of access. Information must be disseminated in a manner that allows all investors an equal opportunity to receive and assess it, such as through stock exchange disclosures, press releases, or widely circulated media reports. SEBI has repeatedly clarified that selective disclosure undermines market fairness and violates the principle of equal access. Even if information is accurate and truthful, it does not become generally available unless it is disclosed through recognised public channels. Option A is incorrect because selective sharing with lenders does not satisfy public accessibility. Option B is incorrect because disclosure limited to merchant bankers remains restricted. Option D is incorrect because internal discussions among employees are, by definition, non-public. Option E is incorrect because private investor calls limit access to a select group and do not qualify as public dissemination unless simultaneously made available to the entire market. Therefore, Option C aligns with both the text of the regulation and SEBI’s emphasis on non-discriminatory information flow.

5. Answer A

Option A correctly reflects the definition of a “connected person” under Regulation 2(1)(d) of the SEBI (Prohibition of Insider Trading) Regulations, 2015. A connected person includes anyone who is or has been associated with the company, directly or indirectly, during the six months

prior to the relevant act, in any capacity that allows access to UPSI. This includes employment,

professional engagement, contractual relationships, or fiduciary roles. The six-month look-back period is critical. SEBI recognises that access to UPSI does not end abruptly upon resignation or termination. Former employees, consultants, or advisors may continue to possess sensitive information that remains unpublished. Therefore, the law presumes access during this cooling-off period. Option B is incorrect because mere trading activity does not establish a connection. Option C is incorrect because small shareholding does not imply access to UPSI. Option D is incorrect because ordinary customers typically lack access to internal information. Option E is incorrect because the definition operates automatically and does not depend on SEBI issuing individual notifications. Hence, Option A correctly captures the temporal and relational scope of a connected person.

6. Answer B

Option B is correct because the substituted Regulation 3(5), introduced through the 2020 amendment to the SEBI (Prohibition of Insider Trading) Regulations, 2015, mandates the maintenance of a structured digital database (SDD) internally, with robust safeguards such as time-stamping, audit trails, and non-tamperability. The purpose of this requirement is to create accountability and traceability for the flow of UPSI within and outside the organisation. The SDD must record details of persons with whom UPSI is shared, including names, PAN or other identifiers, and the date and time of sharing. This enables SEBI to reconstruct information trails during investigations and identify the source of leaks. Internal maintenance is crucial because outsourcing could dilute control, compromise confidentiality, and weaken evidentiary value. Option A is incorrect because the regulation does not permit outsourcing as a default mechanism. Option C is incorrect because maintaining an SDD is mandatory, not voluntary. Option D is incorrect because intermediaries and fiduciaries are also required to maintain such databases. Option E is incorrect because the obligation is continuous and not limited to trading windows. Thus, Option B accurately reflects the compliance architecture envisaged by SEBI to strengthen insider trading enforcement.

7. Answer B

Option B is correct because the 2018 amendment to the SEBI (Prohibition of Insider Trading) Regulations, 2015, formally recognised “legitimate purpose” as a valid ground for communicating UPSI, and expressly includes sharing such information with partners, auditors, insolvency professionals, merchant bankers, legal advisors, and similar fiduciaries. These disclosures are often necessary for audits, due diligence, restructuring, or statutory compliance. However, SEBI balances commercial necessity with regulatory caution. While such sharing is permitted, it does not dilute the confidentiality obligations attached to UPSI. Recipients are treated as insiders, required to maintain confidentiality, and prohibited from trading or further communicating the information except for the same legitimate purpose. Option A is incorrect because marketing agencies do not ordinarily require UPSI. Option C is incorrect because influencers serve promotional, not fiduciary, roles. Option D is incorrect because advertisement departments do not require confidential corporate information. Option E is incorrect because sharing UPSI for academic or training purposes would defeat the purpose of confidentiality.

Therefore, Option B correctly reflects SEBI's narrow and functional interpretation of "legitimate purpose."

8. Answer C

Option C is correct because selectively disclosed information to analysts does not qualify as "generally available information" under the SEBI (Prohibition of Insider Trading) Regulations, 2015. Even if analysts are market intermediaries, selective disclosure creates informational asymmetry and violates the principle of equal access. SEBI has consistently acted against selective analyst briefings that convey material non-public information. Unless the same information is simultaneously disclosed to the public through stock exchanges or press releases, it remains unpublished. Options A, B, D, and E all involve public dissemination through recognised channels, making the information accessible to all investors. Therefore, they qualify as generally available information. Hence, Option C is the correct answer.

9. Answer B

Option B is correct because the 2025 amendment to the SEBI (Prohibition of Insider Trading) Regulations mandates that externally received UPSI must be entered into the structured digital database within two calendar days of receipt. This amendment was introduced to close loopholes relating to delayed or post-facto record-keeping. The rationale is that external sources such as advisors, consultants, or counterparties often become channels of information leakage. Timely entry ensures contemporaneous documentation, reducing the risk of manipulation or retrospective alteration. Options A, C, D, and E are incorrect because they either impose unrealistic immediacy, permit excessive delay, or make compliance contingent on SEBI intervention, which defeats the preventive objective of the regulation. Thus, Option B is legally accurate.

10. Answer B

Option B is correct because the SEBI (Prohibition of Insider Trading) Regulations, 2015, adopt a possession-based standard. A person who trades while in possession of UPSI violates the regulations regardless of whether the trade is executed for their own benefit or on behalf of another. SEBI has repeatedly clarified that acting as an agent, portfolio manager, or intermediary does not provide immunity. The focus is on the act of trading while in possession of UPSI, not on who ultimately benefits. Options A, C, D, and E incorrectly attempt to carve out exemptions that do not exist in law. Therefore, Option B correctly states the legal position.

11. Answer C

Under the SEBI (Prohibition of Insider Trading) Regulations, 2015, the definition of "insider" is deliberately framed in a disjunctive and expansive manner, and Option C correctly reflects this structure. Regulation 2(1)(g) provides that an insider means any person who is either a connected person OR is in possession of or having access to unpublished price sensitive

information (UPSI). The use of the word “or” is legally significant and establishes two

independent gateways through which a person may qualify as an insider. The first limb, “connected person,” focuses on the relationship test. It covers individuals who, by virtue of their association with the company (present or past), are reasonably expected to have access to UPSI. The second limb is the possession-based test, which does not require any formal or contractual connection with the company. A person who acquires UPSI through informal, indirect, or even accidental means can still be treated as an insider. Option A is incorrect because possession of UPSI alone is sufficient, but the regulation does not limit insider status only to possession cases. Option B is incorrect because connection alone, even without proven possession, can trigger insider status due to presumed access. Option D is incorrect as promoters are merely a subset of insiders, not the exclusive category. Option E is incorrect because access to financial statements is only one possible form of UPSI access, not a defining criterion. Therefore, Option C accurately captures the dual test embedded in the statutory definition and reflects SEBI’s intent to prevent circumvention of insider trading laws.

12. Answer B

Option B is correct because quarterly financial results, until they are formally disclosed to the public through recognised channels, constitute unpublished price sensitive information (UPSI) under the SEBI (Prohibition of Insider Trading) Regulations, 2015. Regulation 2(1)(n) explicitly includes “financial results” as a category of information that is deemed price sensitive due to its direct and material impact on the market price of securities. In the given scenario, the company plans to disclose its quarterly results in five days. During this interim period, the information is clearly not generally available and remains confined to internal management, auditors, and select insiders. Since such results can significantly influence investor decisions and market valuation, they squarely fall within the definition of UPSI until official disclosure. Option A is incorrect because information does not become public merely because it is scheduled for disclosure. Option C is incorrect because “trading window information” is not a legal category under the regulations; trading window closures are compliance mechanisms, not classifications of information. Option D is incorrect because quarterly results are not routine disclosures in the sense of being continuously available; they are periodic and market-sensitive. Option E is incorrect because selective disclosure would imply partial sharing, which has not occurred in this scenario. Accordingly, Option B correctly reflects both the statutory language and SEBI’s consistent enforcement approach regarding financial disclosures.

13. Answer E

Option E is correct because an employee who has resigned yesterday without access to UPSI is not mandatorily treated as a connected person under the SEBI (Prohibition of Insider Trading) Regulations, 2015. While Regulation 2(1)(d) includes past employees within the scope of connected persons for a period of six months after cessation of association, this inclusion is not absolute. The key qualifying element is whether the nature of the association was such that it allowed access to UPSI. SEBI’s framework is based on a presumption of access, not a blanket rule. If an employee’s role was clerical, operational, or otherwise insulated from sensitive

decision-making, and there is no factual basis to suggest access to UPSI, such a person may fall outside the mandatory connected person category.

Options A, B, C, and D are incorrect because immediate relatives, auditors, bankers, and debenture trustees are explicitly recognised as connected persons due to the fiduciary nature of their roles and the inherent likelihood of access to sensitive information. Their inclusion is based on functional necessity rather than actual proof of access. Thus, Option E is correct because it recognises that mere past employment, without UPSI access, does not automatically result in insider classification, preserving proportionality and fairness in enforcement.

14. Answer B

Option B is correct because Regulation 4(1) of the SEBI (Prohibition of Insider Trading) Regulations, 2015 permits the communication of UPSI only when such communication is in furtherance of legitimate purposes, performance of duties, or discharge of legal obligations. This provision is an exception to the general prohibition on communication of UPSI and must be interpreted narrowly. Legitimate purpose refers to disclosures that are commercially or legally necessary, such as sharing information with auditors for statutory audits, legal advisors for compliance, or potential investors during due diligence. Even in such cases, the communication must be strictly limited, recorded, and subject to confidentiality obligations. Option A is incorrect because subjective belief about harmlessness has no legal relevance. Option C is incorrect because investor benefit is achieved through public disclosure, not private communication. Option D is incorrect because confidentiality agreements alone do not legalise communication unless the underlying purpose is legitimate. Option E is incorrect because oral disclosures are equally prohibited unless justified by legitimate purpose. Therefore, Option B accurately reflects the only lawful gateway through which UPSI may be communicated under the Regulations.

15. Answer C

Option C is correct because Regulation 5(3) of the SEBI (Prohibition of Insider Trading) Regulations, 2015 mandates that a trading plan shall commence only after a cooling-off period of at least six months from the date of public disclosure of the plan (**which has now been changed to 120 days in the 2024 amendment**). This cooling-off period is designed to neutralise any informational advantage the insider may possess at the time of formulating the plan. The trading plan mechanism exists to allow insiders to trade in a compliant manner while avoiding allegations of insider trading. However, SEBI imposes strict safeguards to prevent misuse. The six-month cooling-off period ensures that any UPSI known at the time of plan formulation is likely to become stale or publicly disclosed by the time trading begins. Option A is incorrect because there is no seven-day minimum period. Option B is incorrect because while trading plans may extend up to twelve months, this is not the defining requirement. Option D is incorrect because trading plans cannot be modified arbitrarily; any modification triggers a fresh cooling-off period. Option E is incorrect because trading plans must be disclosed to stock exchanges for transparency. Hence, Option C correctly captures the mandatory temporal safeguard governing trading plans.

16. Answer B

Regulation 7 of the SEBI (Prohibition of Insider Trading) Regulations, 2015 prescribes disclosure obligations for promoters, members of the promoter group, designated persons, and directors when trading thresholds are crossed. Specifically, Regulation 7(2) mandates that every promoter, member of promoter group, and designated person shall disclose to the company the number of securities acquired or disposed of if the value of such trade exceeds ₹10 lakh in a calendar quarter. This disclosure obligation is transaction-value based and not contingent on whether the transaction is on-market or off-market. Option b) ₹10 lakh is therefore correct because SEBI consciously fixed this threshold to strike a balance between transparency and regulatory burden. Smaller trades are excluded to avoid excessive compliance, while material trades that may signal insider activity are captured. Option a) ₹5 lakh is incorrect because SEBI raised the threshold from earlier regimes to ₹10 lakh to reduce over-reporting. Option c) ₹25 lakh and option d) ₹50 lakh are incorrect as no such higher thresholds exist under Regulation 7. Option e) is incorrect because the regulation explicitly provides a quantified monetary trigger, contradicting the claim that no threshold applies. Thus, the correct statutory trigger for promoter disclosure is ₹10 lakh in a calendar quarter, making option b legally accurate.

17. Answer B

Regulation 2(1)(c) of the SEBI (Prohibition of Insider Trading) Regulations, 2015 defines a "Compliance Officer" as a senior officer of the listed entity who is financially literate and capable of appreciating requirements for legal and regulatory compliance, and who shall report to the board of directors. The emphasis here is not on designation but on seniority, authority, and reporting structure. Option b is correct because SEBI intentionally avoided limiting the role to a specific profession. The Compliance Officer must have sufficient organizational authority to enforce trading window closures, approve trading plans, monitor disclosures, and ensure internal compliance. Reporting to the board ensures independence and effectiveness. Option a) is incorrect because a Compliance Officer need not be a company secretary only; CFOs, legal heads, or senior executives may also be appointed. Option c) is incorrect as promoter representatives may create conflicts of interest. Option d) is incorrect because shareholders have no role in such appointments. Option e) is incorrect because all listed companies, not only top 100, must appoint a Compliance Officer. Therefore, the defining legal requirement is seniority with board-level reporting, making option b correct.

18. Answer C

The Regulatory Sandbox framework introduced through amendments in 2020 and 2021 allows SEBI to relax certain regulatory provisions to facilitate innovation, testing of new market solutions, and regulatory experimentation. Under the SEBI (Prohibition of Insider Trading) Regulations, this sandbox mechanism is incorporated via enabling provisions such as Regulation 31A and allied circulars. Option c) 12 months is correct because SEBI has explicitly capped exemptions granted under the sandbox framework at a maximum of one year, subject to conditions, monitoring, and revocation if misuse is detected. This temporal limitation reflects SEBI's cautious approach: innovation is encouraged, but not at the cost of market integrity. Option a) 3 months and option b) 6 months are incorrect as they underestimate the permissible

duration and are not mentioned in the regulatory framework. Option d) 24 months is incorrect because SEBI deliberately avoided long exemption periods that could weaken enforcement. Option e) is incorrect because SEBI has clearly imposed a fixed outer limit. Hence, the legally correct exemption period under the regulatory sandbox is 12 months, making option c correct.

19. Answer B

Under Regulation 7 read with Schedule B (Code of Conduct) of the SEBI (Prohibition of Insider Trading) Regulations, 2015, pre-clearance of trades is required for designated persons only when the proposed trade exceeds a threshold specified in the Code of Conduct. Importantly, SEBI does not prescribe a uniform monetary figure. Option b is correct because the Compliance Officer determines the threshold, subject to board-approved internal policy. This allows flexibility based on company size, share price, liquidity, and risk profile. Option a) is incorrect because SEBI has intentionally avoided fixing a universal monetary limit. Option c) ₹1 lakh is incorrect as it is neither mandated nor standard. Option d) is incorrect because not all trades require pre-clearance; only those above the specified threshold do. Option e) is incorrect because stock exchanges do not determine internal compliance thresholds. Therefore, pre-clearance requirements are entity-specific and Compliance Officer-driven, making option b correct.

20. Answer D

Regulation 2(1)(n) defines Unpublished Price Sensitive Information (UPSI) as information that is not generally available and which, upon becoming generally available, is likely to materially affect the price of securities. The regulation lists illustrative categories such as financial results, dividends, changes in capital structure, and expansion plans.

Option d is correct because market rumors, even if published in newspapers or media, do not constitute UPSI unless they are confirmed or originate from the company. SEBI has consistently held that speculation and unverified reports do not qualify as UPSI. Options a), b), c), and e) are incorrect because they are expressly recognized categories of UPSI when unpublished.

Financial results, dividend decisions, corporate expansion plans, and capital restructuring decisions directly affect valuation and investor behavior. Thus, market rumors remain outside the scope of UPSI unless officially acknowledged, making option d correct.

21. Answer C

Regulation 5(2) and 5(3) of the SEBI (Prohibition of Insider Trading) Regulations, 2015 mandate that a trading plan shall commence only after a minimum cooling-off period of six months **(which has now been changed to 120 days in the 2024 amendment)** from the date of public disclosure of the plan. This safeguard prevents insiders from using near-term UPSI while appearing compliant. In this case, the CFO drafts a trading plan on 1st January and seeks commencement on 1st April, which is only three months later. This clearly violates the mandatory six-month cooling-off requirement. The fact that Q4 results are announced on 15th April further strengthens the invalidity. Option a) and b) are incorrect because the cooling-off

requirement is absolute. Option d) is incorrect as CFOs are explicitly permitted to draft trading plans. Option e) is incorrect because board approval cannot override statutory safeguards.

Hence, the plan is invalid due to violation of the six-month cooling-off rule, making option c correct.

22. Answer C

Regulation 3(1) prohibits communication, procurement, or allowing access to UPSI, except for legitimate purposes. However, SEBI jurisprudence clearly distinguishes mere passive receipt from prohibited conduct. Option c is correct because the analyst unintentionally received UPSI, did not trade, and did not further communicate the information. Publishing a general industry report, without referencing or exploiting the UPSI, does not amount to violation. Option a) and b) are incorrect because the regulation does not criminalize mere receipt absent misuse. Option d) is incorrect as analysts are not exempt from PIT regulations. Option e) is incorrect because issuer compliance approval is irrelevant to analyst conduct. Therefore, no violation occurs, making option c correct.

23. Answer C

Under Regulation 5(5), any modification to an approved trading plan triggers a fresh cooling-off period of six months **(which has now been changed to 120 days in the 2024 amendment)**. This ensures that insiders cannot manipulate plans opportunistically. Here, the designated person modified the trading plan just 10 days before execution. This modification nullifies earlier approval and mandates a fresh cooling-off period. As a result, trading during a closed window is invalid. Option a) is incorrect because trading plans override window closure only if valid. Option b) is incorrect because modifications are not freely permitted. Option d) is partially correct but incomplete; the legal defect is the cooling-off violation. Option e) is incorrect as disclosure cannot cure illegality. Hence, option c is correct.

24. Answer B

Regulation 2(1)(d) treats a person as a connected person if they were associated with the company in the past six months and had access to UPSI. This rebuttable presumption applies to former employees. Since the employee resigned only 20 days earlier and had knowledge of merger negotiations (a classic UPSI category), she remains a connected person. Options a), c), d), and e) are incorrect because they misstate the statutory position. The six-month look-back is explicit and access-based. Thus, option b is correct.

25. Answer C

Regulation 2(l) defines “trade” broadly to include buying, selling, or dealing in securities, which includes gifts. Regulation 7 mandates disclosure by promoters when transaction value exceeds ₹10 lakh in a calendar quarter. Option c is correct because gifting ₹18 lakh worth of shares crosses the disclosure threshold. SEBI has repeatedly clarified that gifts are not exempt. Options a) and b) are incorrect as gifts are trades. Option d) is incorrect because consideration is irrelevant. Option e) is incorrect because disclosure obligation arises at transfer itself.

Therefore, disclosure is mandatory, making option c correct.

26. Answer B

The SEBI regulatory sandbox framework was introduced to allow regulated entities to test innovative products, services, or business models in a controlled environment with temporary regulatory relaxations. Under the SEBI (Prohibition of Insider Trading) Regulations, 2015, particularly read with Regulation 31A and SEBI's sandbox circulars, SEBI is empowered to grant specific, conditional exemptions from certain regulatory requirements, including those related to data sharing, provided investor protection and market integrity are not compromised. In this scenario, the listed company is formally admitted into the sandbox for testing algorithmic advisory services. If SEBI has expressly permitted the sharing of live client data as part of sandbox conditions, such sharing is lawful, even though it may otherwise raise concerns under insider trading or confidentiality norms. The exemption operates only to the extent granted and does not amount to a blanket override of PIT regulations. Option a is incorrect because UPSI sharing is not "always" prohibited, SEBI can allow it through exemptions. Option c is incorrect because the sandbox does not override PIT automatically; permissions are conditional and limited. Option d is incorrect because client consent alone cannot substitute SEBI's regulatory exemption. Option e is incorrect because sandbox participation is not limited only to intermediaries; listed companies may also participate. Thus, sandbox exemption granted by SEBI legitimizes the sharing, making option b correct.

27. Answer C

Under Regulation 3(1) of the SEBI (Prohibition of Insider Trading) Regulations, 2015, communication of UPSI is strictly prohibited, except where it is in furtherance of legitimate purposes, performance of duties, or discharge of legal obligations. While merchant bankers are permitted recipients of UPSI in transactions like rights issues, selective sharing with potential investors before public disclosure is not automatically a legitimate purpose. Financial projections shared privately with institutional investors before public announcement amount to selective disclosure, which undermines market equality and price discovery. SEBI has consistently held that investor briefings containing UPSI before public dissemination violate PIT norms, regardless of investor sophistication. Option a is incorrect because an NDA does not legalize selective disclosure. Option b is incorrect because "legitimate purpose" does not extend to pre-marketing to investors unless mandated by law. Option d is incorrect as merchant bankers are not exempt from PIT. Option e is incorrect because board approval cannot override statutory prohibitions. Therefore, selective sharing of UPSI with investors is prohibited, making option c correct.

28. Answer B

The concept of "generally available information" under Regulation 2(1)(e) requires that information be accessible to the public on a non-discriminatory basis, without barriers such as selective access or payment restrictions that materially limit availability. SEBI has clarified that information behind paywalls, proprietary databases, or restricted subscriptions does not automatically qualify as generally available. In this case, the designated person relied on

information sourced from a paid industry database accessible only to members. Despite being

purchasable, such access is discriminatory in nature, as it is not equally or freely available to the general investing public. Consequently, trading based on such information, particularly after pre-clearance was expressly denied, constitutes a violation. Option a is incorrect because “purchasable” does not equal “generally available.” Option c is incorrect as compliance officer decisions are binding under the code of conduct. Option d is incorrect because the UPSI link exists through non-public information. Option e is irrelevant. Hence, the trade violates PIT regulations, making option b correct.

29. Answer B

Insider trading prohibitions are not confined strictly to the entity to which UPSI directly pertains. Regulation 2(1)(n) defines UPSI broadly to include any information that, if made public, is likely to materially affect the price of securities. A slump sale at the parent level can significantly affect the financial position, operations, or valuation of a listed subsidiary, especially where interdependence exists. The subsidiary CEO, by virtue of his position, is a connected person and, upon receiving UPSI regarding the parent's slump sale, becomes an insider for PIT purposes. Trading in the subsidiary's securities while in possession of such information is prohibited if the information is price sensitive to the subsidiary, even indirectly. Option a is incorrect because material indirect impact is sufficient. Option c is incorrect because connection is functional, not limited to board membership. Option d is incorrect as disclosure timing does not legalize insider trading. Option e is incorrect because PIT regulations apply across corporate groups where price impact exists. Thus, option b is correct.

30. Answer D

Regulation 2(1)(c) mandates that a Compliance Officer must be formally appointed, financially literate, senior, and empowered. Regulation 9 requires the company to frame and enforce an effective code of conduct. Temporary absence of the Compliance Officer does not suspend compliance obligations. In this case, the CFO informally assumed compliance functions without written delegation or board authorization, rendering approvals legally invalid. The company failed to ensure continuity of compliance mechanisms, and the CFO exceeded authority. Option a is incorrect because liability extends beyond the trader. Option b is incomplete because the company bears primary compliance responsibility. Option c is incorrect as individual culpability also arises. Option e is incorrect because informal approvals have no legal standing. Thus, both the CFO and the company are liable, making option d correct.

31. Answer D

The CFO's initial sharing of UPSI with the investment banker may fall under “performance of duties,” but only if strictly necessary and properly documented, as required by Regulation 3(2B) and the structured digital database requirements. However, internal dissemination within the bank to a junior associate not involved in the transaction breaches the necessity test. The junior associate, upon receiving UPSI and trading, clearly violates Regulation 4 (trading while in possession of UPSI). The banker also violates the regulations by failing to restrict access on a

need-to-know basis. Option a is incomplete. Option b ignores upstream violations. Option c is

incorrect because legitimate purpose is not unlimited. Option e is incorrect as indirect receipt does not negate insider status. Therefore, both CFO and banker are in violation, making option d correct.

32. Answer B

Under SEBI's PIT framework and internal codes of conduct, placing an order during a trading window closure constitutes "trading," regardless of execution timing. Pre-clearance must be obtained before initiating the trade, not retrospectively. Here, the designated person placed the order during closure and sought pre-clearance later. This defeats the preventive purpose of pre-clearance. Options a and c are incorrect because timing of execution is irrelevant. Option d is incorrect as liability primarily rests with the trader. Option e is incorrect because PIT is a strict-liability regime. Hence, option b is correct.

33. Answer E

Gifting shares while in possession of UPSI constitutes trading under Regulation 2(I). The promoter, knowing about the merger, violated Regulation 4 by transferring securities while in possession of UPSI. However, insider trading liability is possession-based, not relationship-based. The brother, although an immediate relative, did not possess UPSI and therefore does not automatically violate PIT by selling the shares. Option a is incorrect as gifts are not exempt. Option b is incorrect because deeming fiction does not override lack of knowledge. Option c is incorrect because exemption is not automatic. Option d is incorrect as liability is not vicarious. Thus, option e is correct.

34. Answer B

A Compliance Officer's powers are not unfettered. Regulation 9 read with Schedule B requires decisions to be rule-based, transparent, and consistent with the code of conduct. Arbitrary refusal based on subjective "speculation risk" without UPSI or code-based justification exceeds authority. Option a is incorrect because discretion is regulated. Option c is incorrect because refusal may be justified on valid grounds. Option d is incorrect as mere possibility is insufficient. Option e is incorrect because board approval is not a substitute for legality. Therefore, option b is correct.

35. Answer B

SEBI follows a company-specific UPSI nexus principle. Regulation 4 prohibits trading only in securities to which the UPSI relates. If the acquirer receives UPSI about one company but trades in another listed group company without a material connection, the prohibition does not automatically apply. Option a is incorrect because PIT is not market-wide. Option c is incorrect as material subsidiary status is not decisive. Option d is incorrect because deemed connection is not absolute across the group. Option e is incorrect as lawful receipt does not alter scope. Thus, option b is correct.

36. Answer A

Under the SEBI (Prohibition of Insider Trading) Regulations, 2015, the concept of aggregation of trades is central to preventing circumvention of trading limits through relatives. Regulation 2(1)(f) defines immediate relatives (including spouse) as persons who are presumed to be financially dependent or to consult the insider in trading decisions, unless the contrary is proved. Consequently, under Schedule B (Code of Conduct), trades executed by a designated person and their immediate relatives are required to be aggregated for the purpose of determining thresholds for pre-clearance and disclosures. In the present scenario, although the designated person traded ₹10 lakh and the spouse traded ₹11 lakh separately, each appearing to fall below the threshold individually, the combined value of ₹21 lakh exceeds the threshold applicable under the company's code of conduct. SEBI has consistently emphasized that individual fragmentation of trades cannot be used to bypass compliance requirements, especially where immediate relatives are involved. Treating spouses as "joint DPs" for threshold calculation ensures that insider trading controls remain effective and not merely formalistic. Option b is incorrect because it ignores the deeming fiction applied to immediate relatives. Option c is incorrect because immediate relative status flows from the regulations, not annual declarations. Option d is incorrect because aggregation is not limited to "acting in concert"; it is automatic unless rebutted. Option e is incorrect because spouses are not treated as independent for threshold computation. Hence, pre-clearance is required due to aggregation, making Answer A correct.

37. Answer C

Insider trading liability under the SEBI (Prohibition of Insider Trading) Regulations, 2015 is fundamentally possession-based, not status-based. Regulation 2(1)(g) defines an insider as any person who is either a connected person or is in possession of or has access to UPSI. Therefore, even a temporary consultant, engaged for only 15 days, becomes an insider the moment he accesses UPSI during valuation work. In this case, the consultant accessed UPSI during his engagement and later traded based on memory of that UPSI. The termination of the contract does not erase insider status for the purpose of that information. SEBI jurisprudence clearly establishes that once a person has been in possession of UPSI, they are prohibited from trading until that information becomes generally available, regardless of employment duration or contractual status. Option a is incorrect because insider status does not vanish immediately upon termination. Option b is partially misleading—while connected-person presumptions extend for six months, possession of UPSI alone is sufficient even without relying on connected-person status. Option d would apply only if UPSI had become public, which is not stated here. Option e is irrelevant; payment has no bearing on insider liability. Therefore, trading based on previously accessed UPSI constitutes a violation, making Answer C correct.

38. Answer B

Regulation 3(1) of the SEBI (Prohibition of Insider Trading) Regulations, 2015 permits communication of UPSI only when it is in furtherance of legitimate purposes, performance of

duties, or discharge of legal obligations. Following the 2018 amendments, SEBI has made it

abundantly clear that “legitimate purpose” is not a subjective label, nor can it be created merely by marking a communication as “confidential.” In this scenario, a senior employee shared UPSI with a colleague and attempted to justify the act by labeling the email as confidential. However, confidentiality markings do not satisfy regulatory requirements. SEBI mandates that legitimate purposes must be pre-defined in the company’s policy, be strictly necessary, and be accompanied by maintenance of structured digital database entries, including details of recipients. Furthermore, access must be limited to a strict need-to-know basis. Option a is incorrect because confidentiality language does not create legitimacy. Option c is incorrect because the colleague’s independent decision to trade does not absolve the communicator. Option d is incorrect because both communication and trading are separately punishable. Option e is incorrect because internal sharing is not automatically permitted. Thus, only documented, necessary sharing qualifies as legitimate, making Answer B correct.

39. Answer D

Encumbrance creation on shares, such as pledging, is governed primarily by the SEBI (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 (SAST), not by the SEBI (Prohibition of Insider Trading) Regulations, 2015. PIT Regulations focus on trading based on UPSI, whereas encumbrances are treated as ownership and control-related disclosures, not insider trading events. SEBI has clarified through regulations and circulars that disclosures of encumbrances by promoters or designated persons must comply with Regulation 31 of SAST, which prescribes specific timelines. PIT Regulations do not impose disclosure obligations for encumbrances unless the encumbrance itself is part of a larger insider trading scheme (which is not alleged here). Option a is incorrect because the 2-day timeline applies to trading disclosures under PIT, not encumbrances. Option b is partially true but incomplete. Option c is incorrect because encumbrances are not treated as trades under PIT. Option e is incorrect because there is no overlap in timelines, each regulation operates in its own field. Therefore, only SAST disclosure requirements apply, making Answer D correct.

40. Answer B

Trading plans under Regulation 5 of the SEBI (Prohibition of Insider Trading) Regulations, 2015 are designed to allow insiders to trade in a pre-scheduled, transparent, and UPSI-neutral manner. While trading plans may be modified, SEBI has imposed strict safeguards to prevent abuse. Any modification is treated as a fresh trading plan, triggering all original conditions anew, including the minimum 6-month cooling-off period and the requirement that trades must not overlap with periods when UPSI exists. In this scenario, the fund manager modified the plan after two months, shifting trades into a period overlapping UPSI. This violates the very foundation of trading plans, which is insulation from insider knowledge. Market volatility is not a valid justification to override statutory safeguards. Option a is incorrect because modifications are permitted, subject to conditions. Option c is incorrect because shareholder approval is not contemplated. Option d is incorrect because UPSI overlap invalidates the plan. Option e is incorrect because trading plans do not lapse automatically; they become non-compliant if

conditions are breached. Accordingly, modification is allowed only if full compliance is maintained, making Answer B correct.